

Investment Memorandum – Thomson Reuters (NASDAQ: TRI)

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Executive Summary

Thomson Reuters (NASDAQ: TRI) is a high-quality, defensively positioned compounder trading -61.0% from its peak on fears that agentic AI will commoditize its core legal, tax, and corporate workflow businesses. I believe the market has largely misunderstood these recent developments. TRI is not a casualty of the artificial intelligence wave, but rather, an active beneficiary, leveraging its proprietary content moats (Westlaw, Practical Law, Checkpoint) to embed AI natively into mission-critical professional workflows through its CoCounsel suite.

Q1 2026 adjusted EBITDA reached \$881 million (a 9% increase), with full-year guidance targeting approximately 40% adjusted EBITDA margin, representing ~100bps of year-over-year expansion. Q1 2026 free cash flow grew 19% year-over-year to \$332 million.

Trading at roughly 19-20x 2026 normalized EPS, TRI sits well below its own five-year historical forward P/E average closer to 35x, at equivalent or better earnings growth, with ~12.5% EPS growth expected in 2026. I view the current valuation as an attractive entry point into a business with durable recurring revenues, expanding AI-driven TAM, and significant shareholder return capacity — with net leverage of only 0.8x EBITDA

Investment Thesis

The investment thesis rests on three interdependent pillars:

[1.] The moat is the model.

Thomson Reuters' core competitive advantage is 175 years of curated, verified, jurisdiction-specific legal, tax, and regulatory content. Westlaw, Practical Law, and Checkpoint are less databases and more trusted authorities embedded in professional workflows where errors carry both fiduciary and legal consequences. General-purpose AI may generate plausible answers, but regulated professionals require AI able to withstand scrutiny in courtrooms, audits, and regulatory proceedings. This distinction is Thomson Reuters' natural defense against commoditization. Frontier models are unable to scrape, replace, or replicate this content layer overnight.

[2.] AI is an accelerant, not a disruptor.

Thomson Reuters has made AI the centrepiece of its growth strategy through CoCounsel. CoCounsel Legal was re-architected to incorporate Anthropic's Claude Agent SDK at the model layer, creating the only legal agent with native access to Westlaw and Practical Law. CoCounsel has reached 1 million active professional users across 107 countries and territories, and monthly CoCounsel SKUs quadrupled year-over-year, with Westlaw Advantage usage and deep research searches rising more than sevenfold in six months. The next-generation agentic CoCounsel Legal is scheduled for full launch in Q3 2026, representing a further step-change in workflow value and pricing power.

[3.] Revenues are recurring with operating leverage.

All currency figures stated in USD.

Thomson Reuters' business model is structurally attractive: high-retention, subscription-based recurring revenues (~74–97% of segment revenues depending on the segment) compound at accelerating organic rates as AI upsell layers onto an existing installed base. The Big Three segments delivered \$829 million in adjusted EBITDA at a 46.7% margin in Q1 2026, demonstrating the inherent operating leverage of a content-and-software model where incremental AI revenues require minimal incremental content cost. As CoCounsel matures and AI feature monetisation deepens, this margin profile is expected to expand further over the medium term.

Business Overview

Thomson Reuters is a global content and technology company serving legal, tax, corporate, and news professionals across more than 160 countries. Founded in its current form through the 2008 merger of Thomson Corporation and Reuters Group, the company has since then divested its financial data operations (now Refinitiv, acquired by LSEG) to focus entirely on professional-grade information services and workflow software. It is dual-listed on the Toronto Stock Exchange and Nasdaq under the ticker TRI.

Financial Overview

Key financials include, but are not limited to:

- 7% organic growth in 2025 stepping up to 8% in Q1 2026, with the core Big Three at a steady 9%.
- \$1.95 billion free cash flow in 2025, guided to ~\$2.1 billion in 2026. The balance sheet is nearly clean at 0.8x net debt/EBITDA, so cash remains readily deployable.
- Over \$1 billion returned to shareholders in Q1 2026 alone between buybacks, dividends, and the special distribution — while still finding ample runway to acquire AI and AI-adjacent names like Noetica.

Despite market sentiment regarding the adverse effects of AI on Thomson Reuters' key business models, the company financials showcase no such signs of weakness.

Market Mispricing

The market has re-rated Thomson Reuters as a casualty to the recent AI development wave. I believe the fears are unsubstantiated, and more so to an extent, backwards.

Legal, tax, and compliance professionals operate in an environment where a 1% error rate is not an acceptable cost of switching – it is a malpractice claim, a failed audit, or an outright regulatory breach. These are not commonplace industries that swap mission-critical, accuracy-tested infrastructure for cheaper alternatives on a cost-saving thesis. The switching cost is not merely inconvenience but rather existential firm risk. The incumbency advantage Westlaw and Checkpoint carry is actively deepening as AI raises the stakes on output accuracy and professional accountability.

This is precisely why AI serves as a Thomson Reuters tailwind, and not as the -61% haircut headwind the market envisions. The firm that can offer AI-powered workflow acceleration with a trusted content layer underneath – the layer that makes the output defensible in a court of law or an audit – wins the upgrade cycle. Thomson Reuters is that exact firm.

The selloff assumes disruption. The fundamentals – 9% Big Three organic growth for six consecutive quarters, 28% of ACV already AI-enabled, and a Q3 2026 agentic product launch – suggest the opposite is more likely.

Key Risks

Key risks include, but are not limited to:

[1.] Integration / execution risk.

Thomson Reuters' acceleration is contingent on successful execution of previous acquisitions (SafeSend, Noetica), and internal product transition to agentic AI architecture. With the full CoCounsel Legal agentic release set for Q3 2026, any execution stumble on the product cycle could weigh on near-term ACV recognition and sentiment.

[2.] AI regulatory uncertainty.

Thomson Reuters' competitive advantage is partly predicated on being able to deploy AI inside regulated workflows. Potential future legislations may make it harder to conduct business using AI, lead to regulatory fines or penalties, require changes in product offerings or business practices, or limit AI use to certain jurisdictions. More stringent regulations could slow CoCounsel commercial rollout.

[3.] Workflow ownership uncertainty.

The most substantive bear case is not that AI destroys Thomson Reuters' content moat – it is that AI restructures who owns the workflow layer. If large law firms / Big Four accounting firms choose to build their own proprietary AI models that pull in legal data via API rather than through Thomson Reuters' native platforms, the bundled value of Westlaw-plus-workflow could gradually unbundle.

Contingents

For the TRI investment case to materialize:

- Clean, on-schedule launch of CoCounsel Legal by Q3 2026; meaningful revenue recognition as of Q4 2026, indicating concrete evidence of agentic AI monetization at scale.
- AI-enabled annual contract value is estimated to be 30% of total contract revenue and is expected to grow at a rate of 2-3% percentage point per quarter. Advise monitoring closely, as changes in this assumed growth rate are indicative of strengthening / weakening AI workflow demand.
- CoCounsel currently runs on Anthropic's Claude as a third-party foundation model. Thomson Reuters is developing its own proprietary model trained specifically on legal, tax, and compliance content to eliminate dependency on third-party models. Advise monitoring closely, as successful launch removes LLM cost drag on margins and removes commoditization threat.
- The broader next-generation agentic expansion across CoCounsel Tax and ONESOURCE+ is guided for later in 2026. Q2 results will be the first read on enterprise uptake. Given Thomson Reuters' tax segment runs at a 53.8% EBITDA margin, successful monetisation here drops through to earnings faster than anywhere else in the business.

Conclusion

Thomson Reuters is off -61% from its peak on AI fears. The market has the story wrong.

No legal, tax, or compliance professional will stake their firm on an AI that falls 1% short of 100% accuracy. A misfiled return, a missed precedent, a compliance gap — these aren't just inconveniences, but rather career-ending, firm-destroying events. The professionals who use Thomson Reuters' products don't switch to cheaper, less proven alternatives when the downside is existential. They pay up for the platform they can defend in a courtroom or an audit.

This is precisely why I believe Thomson Reuters is the answer to the AI wave development and not a casualty of it. CoCounsel is the only AI assistant with 175 years of verified, authoritative content underneath it; that's the only thing standing between an AI output and professional liability. The market is pricing Thomson Reuters as if that distinction doesn't matter. I believe it's the only thing that does.

The fundamentals — 9% Big Three organic growth, \$2.1 billion in free cash flow, 0.8x leverage, and a full agentic product cycle ahead — support a materially higher valuation.

Recommendation: **Long**